

Golub, striking a familiar tone with Buffett, began to use terms such as *franchise* and *brand value* when he referred to the American Express Card. Golub's immediate task was to strengthen the brand awareness of TRS and shore up the capital structure at Shearson-Lehman to ready it for sale.

Over the next two years, Golub began the process of liquidating American Express's underperforming assets and restoring profitability and high returns on equity. In 1992, Golub initiated a public offering for First Data Corporation (the company's information data service division), which netted American Express over \$1 billion. The following year, the company sold The Boston Company, its money management division, to Mellon Bank for \$1.5 billion. Soon after, Shearson-Lehman was separated into two businesses. Shearson's retail accounts were sold and Lehman Brothers was spun off to American Express shareholders via a tax-free distribution, but not before Golub had to pump a final \$1 billion into Lehman.

By 1994, American Express was beginning to show signs of its old profitable self. The resources of the company were now firmly behind TRS. The goal of management was to build the American Express Card into the "world's most respected service brand." Every communication from the company emphasized the franchise value of the name American Express. Even IDS Financial Services was renamed American Express Financial Advisors.

Now that everything was in place, Golub set the financial targets for the company: to increase earnings per share by 12 to 15 percent annually and to achieve an 18 to 20 percent return on equity. Then American Express, in September 1994, issued a statement that demonstrated clearly the rationality of the company's new management. Subject to market conditions, the board of directors authorized management to repurchase 20 million shares of its common stock. That was music to Buffett's ears.

During the summer of 1994, Buffett converted Berkshire's preferred issue into American Express common stock. Soon thereafter, he began to acquire even more shares of common stock. By year-end, Berkshire owned 27 million shares at an average price of \$25 per share. With the completion of the stock purchase plan it had announced in the fall of 1994, the following spring American Express announced it would repurchase an additional 40 million shares, representing 8 percent of the total stock outstanding.